STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Mr Peter & Mrs Catherine Manning

Of

21 First Avenue
ASPENDALE VIC 3195

Prepared on:

9th December 2014

By your Adviser:

Andrew Lord *B Bus (Acc), Dip FS (Fin Plan)*

Lakeside Financial
Level 1, 99 Bay Street
Brighton VIC 3186

Ph: 03 9596 5111 Fax: 03 9596 3222
Email: *andrew.lord@lakesidefinancial.com.au*

Authorised Representative # 324798

Pareto Group Pty Ltd
ABN 11 155 278 078 Australian Financial Services Licensee No. 418700
1/99 Bay Street, Brighton, Vic, 3186
Ph: 03 9596 5111 Fax: 03 9596 3222

What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

9/12/2014

Mr Peter & Mrs Catherine Manning
21 First Avenue
Aspendale VIC 3195

Dear Peter and Catherine,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

Table of Contents

STATEMENT OF ADVICE 1
Financial Planning Strategy 1
Purpose of this document 4
Timeframe for our advice 4
Check for accuracy 4
Limitations of our advice 4
Product selection 5
Introduction **6**
The Scope of Our Advice 6
Our Investment Recommendations 6
Your Adviser 7
The Planning Process 7
Executive Summary **8**
Your Goals and Objectives 8
Personal Information **9**
Personal Details 9
Estate Planning 9
Current Assets and Liabilities 10
Your Investor Risk Profile **11**
Strategy Recommendation **13**
Tax Rates 13
Tax rates 2014-15 13
Tax on superannuation earnings, contributions and income streams 14
Superannuation Contribution Limits 15
Income and Expenses 16
Salary Sacrifice to Superannuation 17
Superannuation Contributions - Catherine 17
High Level Projections 21
Investment Property Debt 23
Investment Allocation 24
Gifting / Investing for Family Members 27
Superannuation Funds 28
Self-Managed Superannuation Fund (SMSF Vs Master Trust) 28
Your Self-Managed Superannuation Fund 31
Borrowing to invest in Property in a SMSF 35
How borrowing may work in your SMSF – Potential Strategy 37
Cash Flow (post salary sacrifice recommendation and including cash offsetting investment property loans) 38
What is paid to your adviser **39**
Plan Fee 39
Disclosure Statement 40
Appendix – Colonial First State **43**
Appendix – Scenario Calculations **44**

Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Retirement planning
- Structure and ownership of future investments
- Gifting of monies
- Superannuation structure
- Wealth accumulation
- Cash flow requirements

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14 day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Peter and Catherine, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Review your overall asset position (including superannuation portfolio) and ensure that it is structured in the most effective manner.
- Ensure that your capital is preserved with the view of generating sufficient investment income to live off in retirement.
- Ensure investment assets are owned in the most tax effective structure.
- Gift specific amounts to half-siblings, nieces and nephews.
- Extinguish any non-deductible debt.
- Build a new residential property.
- Achieve sufficient cash flow to meet your living requirements.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr	Mrs
First Name	Peter	Catherine
Surname	Manning	Manning
Gender	M	F
Date of Birth	7/08/1970	13/06/1973
Age Last Birthday	44	41
Marital Status	Married	Married

Estate Planning

	Peter	Catherine
Do you have a Current Will?	Yes	Yes
Do you have Current Powers of Attorney?	Yes	Yes
Do you have a Testamentary Trust?	Yes	Yes

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Residential Home (Aspendale)	$700,000
On-Site Caravan (Safety Beach)	$18,000
Total Lifestyle Assets	**$718,000**

Investment Assets	
Investment Property (Potts Point)	$400,000
Ashburton Property Sale Proceeds (remaining 95% - settlement due 19/12/14)	*$2,332,250*
Cash (offsetting residential mortgage)	$108,000
Total Investment Assets	**$2,840,000**

Superannuation Assets	
Asgard Ewrap Super (Peter)	$127,000
Vic Super (Catherine)	$86,000
Total Superannuation Assets	**$213,000**

Total ASSETS	**$3,771,250**

LIABILITIES

Aspendale Residential Home Loan (ANZ)	$229,609
Potts Point Investment Property Loan 1 (ANZ)	$228,000
Potts Point Investment Property Loan 2 (Bankwest)	$171,000
Total Liabilities	**$628,609**

NET WORTH	**$3,142,641**

Notes: As the above information has been used in preparing our recommendations please advise us of any errors or omissions.

The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon your responses to the Risk Profile Questionnaire, it was determined that Peter can be classified as a <u>Growth</u> investor and Catherine can be classified as a <u>Balanced</u> investor in regard to your investments inside and outside the superannuation environment.

Typically, a **Growth** investor has the following characteristics:

- A Growth investor places greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- Their portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.

A Growth investor will typically diversify their investment in the following manner:

Australian Shares	43%
International Shares	25%
Property	17%
Fixed Interest	13%
Cash	2%

Typically, a **Balanced** investor has the following characteristics:

- The Balanced investor will typically operate a portfolio evenly split between interest bearing securities and growth oriented investments.
- An exposure to a range of investment sectors including cash, fixed interest, property and shares ensures the portfolio is “truly” balanced.
- Investors are typically comfortable with a variability of their capital over a 5 year horizon while their portfolio builds a growing income stream and capital growth.

A Balanced investor will typically diversify their investment in the following manner:

Australian Shares	34%
International Shares	20%
Fixed Interest	26%
Property	14%
Cash	6%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).
By covering all primary investment markets the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth.

If you feel the above investor profile does not reflect your attitude as an investor, or the recommended portfolio contained in this report is too aggressive or conservative, please let me know so I may adjust my recommendations accordingly.

Our recommendation has been made given your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2014-15

Taxable income	***Tax on this income***
$1 – $18,200	Nil
$18,201 – $37,000	19c for each $1 over $18,200
$37,001 – $80,000	$3,572 plus 32.5c for each $1 over $37,000
$80,001 – $180,000	$17,547 plus 37c for each $1 over $80,000
$180,001 and over	$54,547 plus 45c for each $1 over $180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in ‘accumulation’ phase - Tax rate = 15%

Superannuation in ‘pension’ phase - Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation phase	Super pension phase	
			Age 55-59	After age 60
Salary/pension income	Marginal tax rate **(max 45% + medicare)**	n/a	Marginal tax rate (less 15% rebate) + medicare	**Tax free**
Super contributions (SGC, salary sacrifice)	n/a	**15%**	n/a	n/a
Investment income	Marginal tax rate **(max 45% + medicare)**	Maximum 15%	**Tax free**	**Tax free**
Capital gains	**Marginal tax rate** (50% discount if held for more than 12 months)	**10%** (15% if asset held less than 12 months)	**Tax free**	**Tax free**

Superannuation Contribution Limits

Table 1- Concessional contribution limits

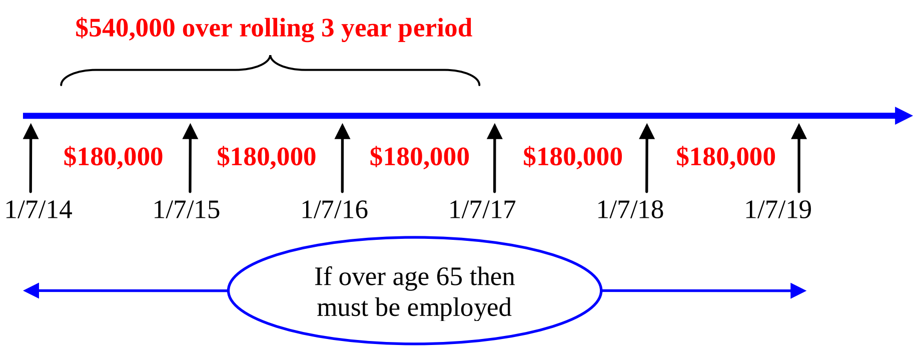
Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-65	Age 65-74*	Age75 and over
From 1 July 2012	$25,000	**$25,000**	**$25,000**	**$25,000**	SGC only
From 1 July 2013	$25,000	**$25,000**	**$35,000**	**$35,000**	SGC only
From 1 July 2014	$30,000	**$35,000**	**$35,000**	**$35,000**	SGC only

*Must be employed at least 40 hours during any consecutive 30 day period in the financial year you would like to make the contributions.
Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 65	Age 65 to 74	Age 75 and over
From 1 July 2007	$150,000 p.a.	May bring forward two years of contributions to make a $450,000 contribution in one financial year	Must be employed*	Cannot contribute
From 1 July 2014	$180,000 p.a.	May bring forward two years of contributions to make a $540,000 contribution in one financial year	Must be employed*	Cannot contribute



Income and Expenses

The following is a summary of your Income and Expenses that estimates your overall Cash Flow position based on the information provided.

Note: ***Any income from PCMP Pty Ltd has not been included at this stage, although we note that this is anticipated to be approximately $2,500 per month.***

Estimated Tax Liability

Income Source	Amount Received	Deductions	Taxable Income	Tax
Gross Income (salary)	$102,000			
Rental Income (Potts Point)	$24,000			
Deductions				
Interest on inv. loan 1 (ANZ)		$11,460		
Interest on inv. Loan 2 (Bwest)		$10,650		
Other inv. property deductions		$5,585		
TAXABLE INCOME			**$98,305**	
Tax Payable before Rebates/Credits				**$24,320**
Low Income Tax Offset				($0)
Total Rebates & Credits				**($0)**
TAX PAYABLE after REBATES & CREDITS				**$24,320**
Medicare Levy				$1,966
NET TAX				**$26,286**

Estimated Cash Flow

Adequate cash flow to meet living expenses is fundamental to achieving your financial objectives. Based on the estimated income from your recommended portfolio, other income and expenses (inclusive of GST) and estimated tax, we estimate your cash flow to be as follows.

	Total
Income	
Income Received	$126,000
Sub Total	**$126,000**
Less Income Tax	$26,286
Less Other Deductible Expenditure	$27,695
Net Income	**$72,019**
Less Budgeted Expenditure	$97,831
Income Deficit	**($25,812)**

Note: *The budgeted expenditure is reflective of your expenses details in the budget provided as at September 2014.*

Salary Sacrifice to Superannuation

Recommendation:

- Peter, you are currently not salary sacrificing to superannuation.
- Commence a salary sacrifice arrangement of **$1,650 per month ($19,800 per annum)** to your super fund.
- Arrange this with your employer as soon as possible.

Benefits:

- Salary sacrifice contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Peter, your salary sacrifice contributions will be taxed at a maximum of 15% compared to 39% (including medicare levy) if taken as income.
- **The total net tax saving, including contributions tax, for a full financial year is $4,752 .**
- **You have increased your NET superannuation contributions by $16,830 p.a. (after taking into consideration contributions tax of 15%) to build a capital base to meet your retirement income goals.**
- By making concessional contributions via salary sacrifice, you are building your superannuation benefits at an increased level, resulting in achieving your retirement capital goals sooner.

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

IMPORTANT:
It is important that any salary sacrifice arrangement is clearly documented in writing. You should also confirm with your employer that they are going to continue to pay Superannuation Guarantee Contributions (SGC) on the grossed up amount of your package, i.e. that the SGC will continue to be calculated on the total of your salary + salary sacrificed amount.

Superannuation Contributions - Catherine

Recommendation:

- Catherine, ensure you make sufficient concessional superannuation contributions to ensure your taxable income does not exceed $37,000 each financial year.
- This may be done via PCMP Pty Ltd (depending on the income generated by this entity).

  Example:

  If PCMP Pty Ltd generated income of $47,000 throughout the financial year - $10,000 should be directed to Catherine's superannuation fund as a concessional contribution.

  The tax on this $10,000 contribution would be 15% as opposed to tax of 34% (including medicare levy) if taken as income.

Surplus Funds

- You have recently sold the inherited property in Ashburton for $2,455,000 with settlement due on 19th December 2014.
- The approximate net proceeds are detailed below and you seek advice with respect to the best use of these funds.

Sale proceeds		**$2,455,000**
Less:		
5% deposit already received	$122,750	
Gifts to half-brothers and sisters *(4 X $25,000)*	$100,000	
Gifts to nieces and nephews *(10 X $10,000)*	$100,000	
Amount required to build residential property	$500,000	
Amount required to extinguish non-deductible debt	$229,609	($1,052,359)
Sub Total		**$1,402,641**
Add:		
Cash currently in offset account	$108,000	$108,000
SURPLUS FUNDS		**$1,510,641**

Recommendation:

<u>Option 1 - Superannuation</u>

- In light of the fact that superannuation is a concessionally taxed environment to hold investment assets (and 'tax free' once you reach 60 years of age and convert the fund to 'pension phase'), you could make Personal Non-Concessional contributions based on the following timeline (these contributions remain within the contribution caps detailed in the 'Superannuation Contribution Limits' section):

Date	January 2015	July 2015	Total to July 2015
Non-concessional contribution (Peter)	$180, 000	$540,000	**$720,000**
Non-concessional contribution (Catherine)	$180,000	$90,641	**$270,641**
TOTAL NON-CONCESSIONAL CONTRIBUTIONS			**$990,641**

- Under this option, **the remaining funds ($520,000)** could be utilised to fully offset your residential and investment property loans.

Benefits:

- The majority of your funds will be held in the superannuation environment which is the most tax effective ownership vehicle. Any income will be concessionally taxed at 15% and any realised gains will be concessionally taxed at 10%. Upon reaching age 60, any income and realised gains will be tax free if the fund is moved into 'pension phase'.

Risks / Comments:

- **Superannuation funds cannot be accessed until you reach preservation age (currently 60 years of age).**
- **As such, we suggest that this may not be a viable option for you.**

<u>Option 2 – Discretionary Family Trust</u>

- Invest all of the surplus funds under a **<u>Discretionary Family Trust</u>**.
- This Trust is to be a new Trust as your existing entity (Manning Family Trust) is used for business purposes.

Benefits:

- The income generated by the investments within the trust may be streamed to family members (i.e. lower tax rate beneficiaries).
- By creating a new Trust (rather than investing in the existing Family Trust), it is more likely that the investments will be protected from any business activities.

Risks:

- All income MUST be distributed and therefore added to any other taxable income generated by the beneficiaries of the Trust.
- There are additional costs involved in setting up and running a Discretionary Family Trust.

<u>Option 3 – Joint Names</u>

- Invest all of the surplus funds under your joint names (Peter and Catherine).

Benefits:

- You will not incur the additional costs of setting up and running a separate entity.

Risks:

- All income MUST be split between the two of you and added to any other taxable income.
- This structure does not provide any asset protection

Option 4 – Individual Name

- Invest all of the surplus funds under Catherine's name.

Benefits:

- The income generated by the investment will be taxed in Catherine's name (i.e. the lower income earner).

Risks:

- All income MUST be declared by Catherine and cannot be distributed to anyone else pre-tax.

High Level Projections

Under each of these options we have calculated your projected capital position year on year taking into consideration the various tax rates under each structure. A summary of these projections over a 5 year period is detailed as follows:

Scenario 1

Year	Estimated tax incurred	Total net benefit	Net return on capital	Total capital at end of period
1	$10,401	$86,563	5.73%	$1,569,584
2	$11,020	$90,070	5.74%	$1,632,034
3	$11,676	$93,786	5.74%	$1,698,200
4	$12,371	$97,722	5.75%	$1,768,303
5	$13,107	$101,894	5.76%	**$1,842,577**
TOTAL	**$58,578**	**$470,035**		

Scenario 2

Year	Estimated tax incurred	Total net benefit	Net return on capital	Total capital at end of period
1	$2,238	$94,726	6.27%	$1,577,747
2	$3,600	$98,061	6.22%	$1,648,188
3	$4,875	$101,717	6.17%	$1,722,286
4	$5,694	$105,815	6.14%	$1,800,481
5	$7,113	$110,139	6.12%	**$1,883,001**
TOTAL	**$23,790**	**$510,468**		

Scenario 3

Year	Estimated tax incurred	Total net benefit	Net return on capital	Total capital at end of period
1	$16,900	$80,064	5.30%	$1,563,085
2	$18,001	$82,634	5.29%	$1,618,100
3	$19,371	$85,115	5.26%	$1,675,596
4	$20,880	$87,630	5.23%	$1,735,607
5	$22,456	$90,256	5.20%	**$1,798,243**
TOTAL	**$97,608**	**$425,699**		

Scenario 4

Year	Estimated tax incurred	Total net benefit	Net return on capital	Total capital at end of period
1	$15,470	$81,494	5.39%	$1,564,515
2	$16,772	$83,964	5.37%	$1,620,859
3	$18,132	$86,548	5.34%	$1,679,788
4	$19,609	$89,196	5.31%	$1,741,364
5	$21,290	$91,825	5.27%	**$1,805,569**
TOTAL	**$91,273**	**$433,027**		

Assumptions

The broad assumptions used under each of these scenarios are as follows:

- Investment earnings rate of 7.0% p.a.
- Superannuation tax rate of 15% p.a.
- Beneficiaries of trust distributions do not earn any other taxable income
- Saving on interest payable on property loans is based on current interest rates

A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice.

Property Debt

You currently have the following debt against your properties:

Property	Lender	Approximate Debt	Interest Rate	Annual Interest
Aspendale	ANZ	$121,609 (after offset)	4.85%	$5,898
Potts Point	ANZ	$228,000	4.99%	$11,377
	Bankwest	$171,000	6.05%	$10,345
TOTAL		**$520,609**		**$27,620**

Option 1 – Leave structure unchanged

- The (approximate) effective annual cost of retaining this structure is as follows:

  Gross interest cost $27,620

  Less:

  Tax saved via deduction $ 7,385 *($21,722 @ tax rate of 34% incl. medicare levy)*

  NET ANNUAL COST **$20,235**

Option 2 – Restructure these loans and place $520,000 in an offset account

- This will effectively form a large portion of your Cash and Fixed Interest components of your overall asset allocation.
- The annual return generated will be the saving of the cost detailed under option 1 above (i.e. $20,235 NET)

Investment Allocation

You seek advice with respect to the most appropriate way in which to invest these funds. As such, we have suggested a diverse portfolio as follows that is in line with Catherine's **Balanced** Risk Profile. We have used Catherine's **Balanced** Risk Profile to provide a more conservative asset allocation:

Balanced:

Asset Class	% of Portfolio	Value
Australian Shares	34%	$513,618
International Shares	20%	$302,128
Fixed Interest	26%	$392,767
Property	14%	$211,490
Cash	6%	$90,638
	100%	**$1,510,641**

Recommendation:

International Shares

Investment Name	Investment Value	Management Expense Ratio (MER)
Colonial FirstChoice Wholesale Platform*		
BT Core Wholesale Global Share Fund (AQR)	*$75,532*	*1.31%*
Platinum Wholesale International	*$75,532*	*1.82%*
Perpetual Wholesale International Share Fund	*$75,532*	*1.36%*
MFS Wholesale Global Equity	*$75,532*	*1.21%*
Total Investment	**$302,128**	

Property

Investment Name	Investment Value	Management Expense Ratio (MER)
Colonial FirstChoice Wholesale Platform*		
BT Wholesale Property Investment	*$75,532*	*1.05%*
CFS WS Global Listed Infrastructure Securities	*$75,532*	*1.21%*
CFS WS Colliers Global Property Securities	*$60,426*	*1.01%*
Total Investment	**$211,490**	

Fixed Interest & Cash ($483,405)

- We suggest increasing this allocation to **$520,000** and utilising these funds to offset the property debt (as detailed under 'Property Debt' section).
- Alternatives are as follows:

Option 1

Investment Name	Investment Value	Management Expense Ratio (MER)
Colonial FirstChoice Wholesale Platform*		
*FirstChoice Wholesale Fixed Interest^*	*TBA*	*0.75%*
Total Investment	**TBA**	

Option 2

Investment Name	Investment Value	Management Expense Ratio (MER)
Term Deposit°	*TBA*	*0%*
Total Investment	**TBA**	

^ Performance figures (net of MER) for the FirstChoice Wholesale Fixed Interest Fund as at 30/09/14 are as follows:

3 months	1 year	2 years	3 years	5 years	7 years	Since inception	Inception date
1.62%	7.15%	4.84%	6.55%	7.44%	7.00%	6.50%	17/04/02

The highest rates currently available for term deposits for a term of 12 months are:

- ING Direct - 3.60%
- Macquarie - 3.55%
- UBank (backed by NAB) - 3.51%

Australian Shares – Option 1 (reduced to $477,023 to compensate for the increase in Fixed Interest / Cash allocation)

Investment Name	Investment Value	Management Expense Ratio (MER)
Colonial FirstChoice Wholesale Platform*		
BT Wholesale Core Australian Share	*$140,301*	*1.01%*
Fidelity Wholesale Australian Equities	*$140,301*	*1.06%*
Perennial Wholesale Value Australian Share	*$140,301*	*1.00%*
Ausbil Wholesale Australian Emerging Leaders	*$56,120*	*1.11%*
Total Investment	**$477,023**	

*Refer to **Appendix A** for further information on Colonial FirstChoice Investments

Australian Shares – Option 2 (reduced to $477,023 to compensate for the increase in Fixed Interest / Cash allocation)

Investment Name	Investment Value	Indicative Management Cost
Direct Shares[1]	*$477,023*	*Cost of brokerage* ***(typically 1%)***
Total Investment	**$477,023**	

[1] Specific shares to be recommended by an authorised stock broker should you wish to proceed with this option.

Gifting / Investing for Family Members

You have stated that you would like to:

- Gift $25,000 to each of your four half-brothers and sisters (total of $100,000)
- Gift $10,000 to each of your ten nieces and nephews (total of $100,000)
- Invest a lump sum of $100,000 for the benefit of your nieces and nephews and your own children

  You seek advice with respect to the most appropriate way in which these gifts and lump sum investment can be structured.

<u>Gifting</u>

You essentially have two options in terms of gifting the 4 lots of $25,000 and 10 lots of $10,000:

1. Provide these amounts to each of the family members directly out of your initial capital balance
2. Include these amounts in your initial capital balance and provide the gifts over time out of the earnings / capital growth achieved

Recommendation:

➢ In order to have the highest starting capital available, we would suggest option 2 is preferable.

<u>Lump Sum Investment for Family Members</u>

Similarly, in terms of the lump sum $100,000 investment for the benefit of your nieces, nephews and children, you essentially have two options:

1. Set up a separate trust for their benefit, invest $100,000 in a managed fund and reinvest all earnings
2. Incorporate the $100,000 into your initial capital balance and allocate the first $100,000 of earnings to the family members. For example:
   - Starting capital (without cash / fixed interest portion) = $990,641
   - Earnings of 7.00% = $69,345
   - This could then be allocated to the family members and reinvested on their behalf

Recommendation:

➢ Again, in order to have the highest starting capital available, we would suggest option 2 is preferable.

Superannuation Funds

You currently have the following superannuation funds:

Asgard Ewrap Super (Peter)	$127,000
Vic Super (Catherine)	$86,000
Total Superannuation Assets	**$213,000**

Options:

In terms of superannuation, you essentially have the following options:

- Retain your existing funds and structure
- Consider moving your superannuation funds to a 'master trust' platform
- Commence a Self-Managed Superannuation Fund (SMSF)

Self-Managed Superannuation Fund (SMSF Vs Master Trust)

SMSF

A super fund is generally a self-managed super fund (SMSF) if:

- It has 4 or less members;
- No member of the fund is an employee of another member of the fund (unless they are related);
- Each member is a trustee or director of the corporate trustee, and
- No trustee of the fund receives any remuneration for their services as a trustee.

Since you are over 18 years of age, not under a legal disability and have not been disqualified*, you are eligible to be a trustee.

There are several detailed steps involved in establishing and managing an SMSF. Briefly, as trustees of an SMSF you are required to:

1. Establish your fund which includes appointing trustees (ie yourself as sole director of a corporate trustee) and make an irrevocable election to be regulated, obtain a tax file number and Australian business number. **Lakeside Accountants Pty Ltd will assist you in completing this step.**
2. Comply with all legislative requirements at all times – especially the SIS legislation which is the principle piece of legislation regulating super funds.
3. Comply with the sole purpose test. The object of this test is to ensure that SMSFs are maintained for the purpose of providing benefits to members upon their retirement, or their dependants if one of you dies before retirement.
4. Accept contributions in accordance with the SIS legislation and your trust deed.

5. Manage your funds investments which includes having an investment strategy and complying with the investment restrictions associated with SMSFs. For example, as trustee, you are prohibited from lending money or providing direct or indirect financial assistance* from the fund to a member or a member's relative.
6. Pay benefits in accordance with SIS legislation. In order to do this you must understand when benefits can be paid to members and in what form (i.e. as a lump sum, and or income stream).
7. Meet lodgement and administrative obligations of which there are several including annual income tax and regulatory returns as well as record keeping requirements.
8. You must appoint an approved auditor to audit the operations of the fund each year or part year the fund is in existence. The auditor is required to assess the fund's overall compliance with SIS legislation and the fund's financial statements.

** This includes the provision of credit.*

To protect your retirement income the Australian Taxation Office (ATO) regulates SMSFs to ensure they comply with SIS legislation. Failure to comply is known as a 'contravention' of the applicable legislation and may result in the ATO taking compliance action against you.
Accordingly, it is vital that you understand and conduct your obligations as trustees of the fund to the utmost of your abilities.

Advantages of having an SMSF:

- Flexibility and control of your investment decisions
- The ability to purchase property and assets that are used as an investment, and owned by the SMSF.

Disadvantages of having an SMSF:

- Running an SMSF can be expensive if you don't manage all costs, fees and charges of the products and services you use.

Superannuation Master Trusts

A superannuation master trust is a superannuation structure that allows an investor to hold a portfolio of managed funds under the one umbrella. It provides centralised reporting and is often used by financial advisers as a convenient and simple way to manage their client's portfolio.

Master trusts typically have the following features:

- Investments are held by a trustee in its name, on behalf of the investor
- The value of an investor's account is determined by the trustee based on the value of the underlying investments
- All fees and some taxes are bundled into the unit price for each investment and allocated to the investor
- Income from the underlying assets is paid to the master trust and then distributed to members
- Franking credits are incorporated into the unit price of the underlying investment

Benefits:

- Master trusts are beneficial for those who have a large sum of money to invest and want the convenience of one report for multiple investments.
- Access to wholesale funds - You can access a wide range of wholesale funds that you may not be able to access individually.
- Once you commence an income stream, the earnings on your superannuation funds used in the purchase price of the pension become tax free. This remains the case for the life of the pension.
- You will receive consolidated reporting on performance.

Risks:

- The performance of the investments within a master trust is subject to the performance of the market in which they are invested.

Your Self-Managed Superannuation Fund

The Role a Trust Deed Plays in a SMSF.

A SMSF cannot exist without a trust deed. The trust deed is a legal document that establishes the fund and provides the rules for its day to day operations and member entitlements. The trust deed should include rules that:

- Control who can be a trustee and who cannot be a trustee, what the trustee can do and what the trustee can't do, how the trustee can retire and a new trustee appointed, what the trustee can be paid and so on
- Describe who can be a member
- Describe what contributions can be accepted and from whom
- Describe the lump sum and pension benefits, and how they are calculated, on retirement, on death or permanent disability, or on serious financial hardship
- Describe how the decisions of the trustee should be made
- Describe the types and rules for death benefit nominations
- Facilitate the preparation and implementation of an investment strategy
- Allow members access to all relevant fund documents

The SMSF Investment Objective

- The sole purpose of the fund is to provide a lump sum or pension benefits upon retirement or death.
- The investment objective of the fund is to provide real, medium to longer term growth in the value of the assets held by the fund either through capital growth in the value of existing investments or by the reinvestment of income generated by existing investments.

Other Considerations of the SMSF

Trustee responsibilities

Peter and Catherine, as the trustees of your SMSF you are responsible for compliance with a range of investment related requirements including the investment strategy covenant and various restrictions on investments and benefits including those related to:

- lending to members or their relatives
- *acquiring assets from members or their relatives (as mentioned below)
- in-house assets (for example, a loan from the fund to a related company or trust)
- arm's-length transactions (for example, a fair market value must be paid if the fund acquires listed shares from a member or relative)
- borrowing by the fund
- member reporting obligations (including annual statements)
- contribution acceptance standards
- benefit payment standards.

A superannuation fund may only purchase certain types of investments (at market value) from you or an associate, such as a relative. These include shares listed in Australia or on an approved overseas stock exchange, units in retail unit trusts and business real property used wholly for

any commercial business. The transfer of virtually all other assets that a member already owns into the fund may incur fines or criminal prosecution.

The SMSF Investment Strategy

As per relevant legislation under Section 52(2) (f) of the SIS Act, an investment strategy should be formulated by the trustees. This is the fund's plan to make, hold and realise fund assets. This strategy should be consistent with your investment objectives specific to the fund. The investment strategy should take into account certain elements as set down by the aforementioned legislation:

- diversification
- risk and return (refer to risk profile section)
- liquidity and cashflow (refer below)
- Expression of investment strategy – strategy must be clear and unambiguous.
- Trustee Minutes – minutes must be taken to demonstrate that relevant issues relating to statutory and non statutory matters have been considered.
- Giving Effect to Strategy – implementing the investment strategy.
- Fund Reserves – Reserving policy which reduces volatility of returns and provides investment performance smoothing for the fund. In good performance years the reserves are increased and in underperforming years funds are taken from the reserve to prop up lacklustre performance in the fund.
- Segregation of Fund Assets – Assets of an SMSF can be maintained at fund level or allocated to individual members. Returns are also allocated in this instance.

In addition to diversification across asset classes, in order to manage risk, the fund will seek to diversify the portfolio across individual assets, sectors within asset classes, and investment managers.
The fund's investments may include:

  - direct equities, stocks and derivatives and include the participation in dividend reinvestment programs, rights issues and the like
  - property trusts and associated investments, direct residential, industrial or commercial property investment
  - managed investments and associated products
  - bank and other financial institution securities including term deposits and debentures
  - secured and unsecured notes and bonds
  - any other investment which would not prejudice Government Approval of the Fund.

The liquidity and cashflow of the fund and its investments will be managed to ensure that the fund is able to pay all expenses, tax and member benefits as and when they are likely to become due.

Example SMSF Investment Strategy

Investment objectives

Long term (5 – 7 years)

- To enhance the value of the members savings, and
- To achieve a long term return of at least inflation (as measured by CPI) plus 3.5% per annum over rolling 5 year periods, which historically equates to the real rate of return which may be expected from a balanced portfolio.

Short term (2 years or less)

- To ensure the fund provides positive returns in most financial years, and
- To ensure sufficient liquidity to meet operating expenses and taxation liabilities as they fall due.

Investment strategy

The investment strategy is the method to be implemented in order for the trustees to achieve the investment objective. The investment strategy of the trustee is to invest the fund's assets in the following portfolios:

Portfolio	Range	Benchmark Growth
Australian shares	32% - 36%	43%
International shares	18% – 22%	25%
Property	12% - 16%	13%
Fixed interest	24% - 28%	17%
Cash	4% - 8%	2%

Portfolio	Range	Benchmark Balanced
Australian shares	32% - 36%	34%
International shares	18% – 22%	20%
Property	12% - 16%	14%
Fixed interest	24% - 28%	26%
Cash	4% - 8%	6%

These ranges are purely indicative (**being based on your current investor risk profiles**) and the trustee may vary the allocations at any time if satisfied that conditions warrant such a change. In arriving at the investment strategy, the trustees considered the following:

Diversification of investment strategy

You should consider the diversification of the fund's investments, and be of the opinion that the strategy is appropriate given the size of the fund in terms of both investments and the number of members.

Liquidity of the investment strategy

You must be of the opinion that the investment strategy is structured in such a manner so that the fund is sufficiently liquid to discharge its current and future liabilities.

Short-term liabilities include lump sum payments, tax liabilities, annual return fees, accounting fees and audit fees.

Borrowing to invest in Property in a SMSF

Background

From 24 September 2007 the general prohibition on superannuation funds borrowing was relaxed to allow super funds, including SMSFs, to borrow, to purchase any asset they would otherwise be permitted to acquire.

How do these rules work?

These rules allow a super fund trustee to borrow money or to maintain a borrowing of money, under an arrangement where:

- the borrowing is applied for the acquisition of an asset other than one the super fund trustee would be prohibited from acquiring
- the asset is held on trust for the super fund so that the trustee acquires the beneficial interest in the asset (ie a trust is established over the asset)
- the super fund trustee has the right to acquire legal ownership of the asset after making one or more payments, and
- the rights of the lender against the super fund trustee in relation to the borrowing (and any related charges) are limited to the rights relating to the asset

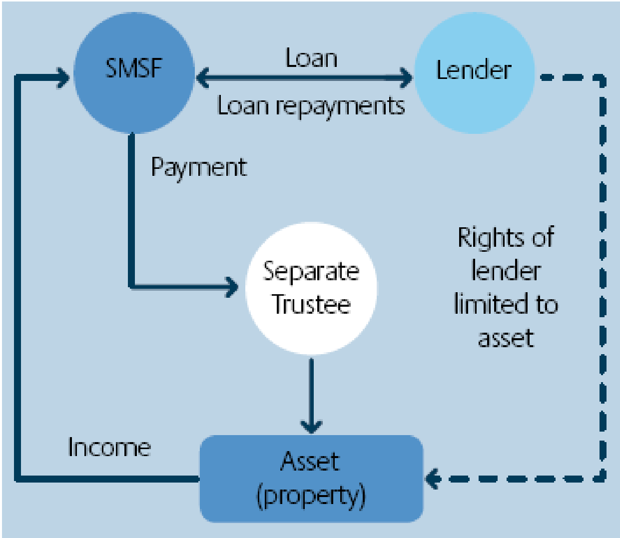
Who can make a loan to a Fund; can it be a member or a bank?

There are no restrictions on who can make a loan to a Fund. Therefore a member, a bank or any other entity could make a loan to a Fund provided the loan complies with the Superannuation Industry Supervision Act (SISA) borrowing Requirements.

Trust arrangements

A requirement of the borrowing exemption is that the asset must be held on trust for the SMSF so that the SMSF acquires the beneficial interest in the asset. That is, the SMSF will not be permitted to directly hold the legal ownership of the asset until it has paid off the loan.

A trust relationship must be established to satisfy the borrowing rules. This could be achieved by the SMSF entering into a trust relationship with another entity, such as a member of the fund, to separate the legal and beneficial ownership of an asset. In this case, the entity holding the legal ownership of the asset would be the trustee, while the SMSF would be the beneficiary and hold the beneficial ownership of the asset. As the beneficial owner of the asset, the SMSF would be entitled to all the income from the asset and is able to instruct the separate trustee to transfer the ownership of the asset to the SMSF on repayment of the loan.



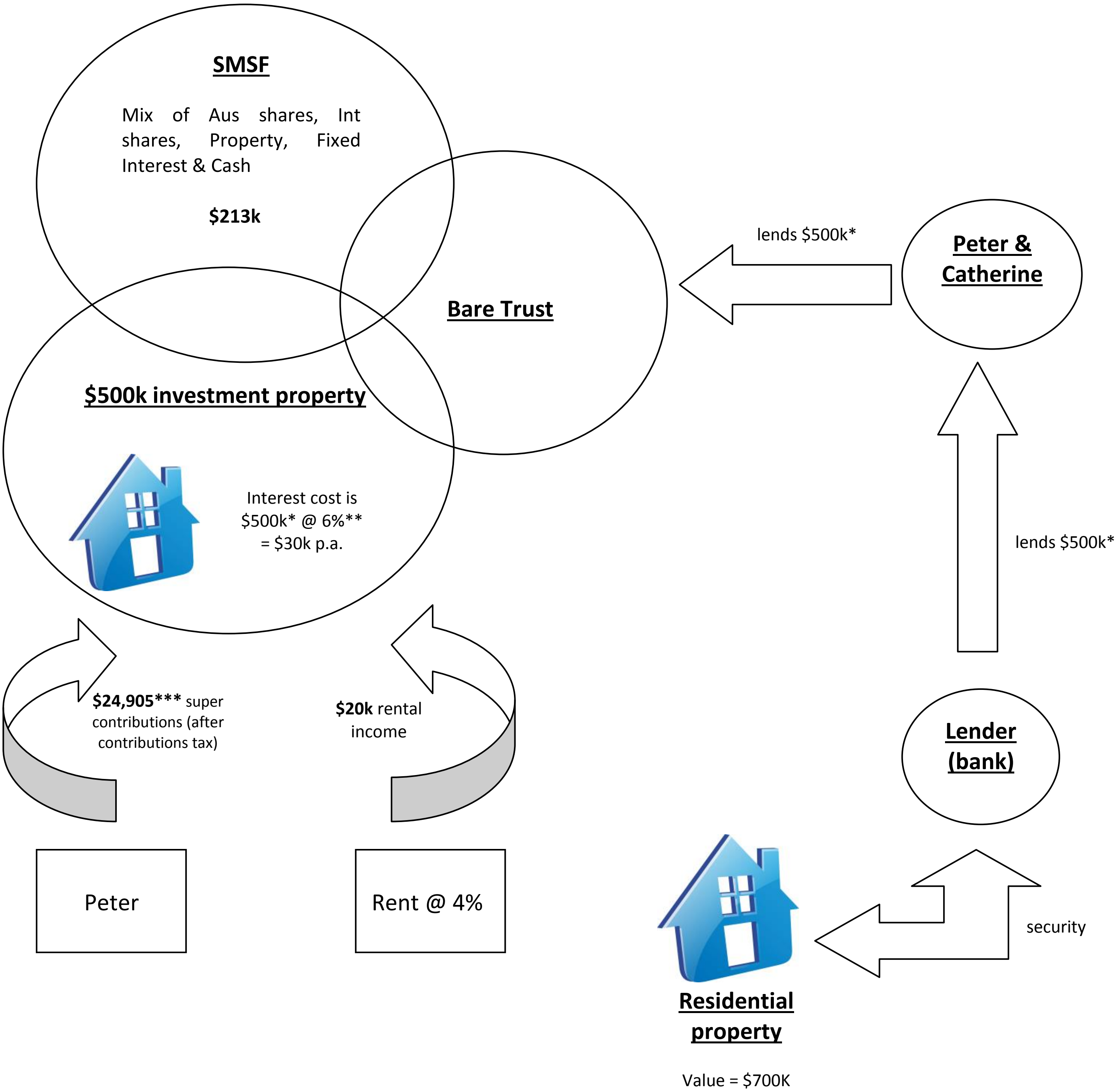
Loan requirements and practical issues

In order for the borrowing to be allowable the loan must be on a limited recourse basis only. That is, the rights of the lender against the SMSF trustee for any default on the borrowing (and any additional charges) must be limited to the rights relating to the asset that was purchased with the borrowing. These rights may include taking possession and disposing of the asset. For example, if a SMSF borrowed money to purchase an asset, such as a commercial property, the rights of the lender against the SMSF must be limited to the rights relating to that particular asset (or any replacement asset). If the SMSF then defaulted, the lender's recourse would only be against that asset. If there was any shortfall on the sale of the property that loss would be borne by the lender.

From a practical perspective the requirement for a limited recourse loan will effectively limit the amount a SMSF trustee can borrow. That is, some lenders may only be willing to lend up to a certain Loan to Value Ratio (LVR) on certain asset classes, such as property. For example, a bank lender may only be willing to lend on direct property and only up to a maximum 70% LVR.

The interest rate for a limited recourse loan may also be higher to reflect the higher risk to the lender. This may also limit a SMSF's ability to borrow in many circumstances. For example, a lender may be willing to go up to an 80% LVR on an asset but the interest rate may be so high as to make the loan so expensive, which results in losses to the SMSF.

How borrowing may work in your SMSF – Potential Strategy



*** The amount of $500k has been used purely for illustrative purposes. This has been documented as a potential strategy as you have stated that you would like to explore property as an asset class and learn more about the tax effective ownership structures.**
**** The interest rate used is the current variable rate available plus a 1% buffer.**
***** Assumes the recommended salary sacrifice contributions are made each year and the employer contributions continue.**

Cash Flow (post salary sacrifice recommendation and including cash offsetting investment property loans)

The following is a summary of your Income and Expenses that estimates your overall Cash Flow position based on the information provided.

Note: ***Any income from PCMP Pty Ltd has not been included at this stage, although we note that this is anticipated to be approximately $2,500 per month.***

Proposed Estimated Tax Liability

Income Source	Amount Received	Deductions	Taxable Income	Tax
Gross Income (salary)	$102,000			
Rental Income (Potts Point)	$24,000			
Deductions				
Salary sacrifice		$19,800		
Interest on inv. loan 1 (ANZ)		$0		
Interest on inv. Loan 2 (Bwest)		$0		
Other inv. property deductions		$5,585		
TAXABLE INCOME			**$100,615**	
Tax Payable before Rebates/Credits				**$25,174**
Low Income Tax Offset				($0)
Total Rebates & Credits				**($0)**
TAX PAYABLE after REBATES & CREDITS				**$25,174**
Medicare Levy				$2,012
NET TAX				**$27,186**

Proposed Estimated Cash Flow

	Total
Income	
Income Received	$126,000
Sub Total	**$126,000**
Less Income Tax	$27,186
Less Other Deductible Expenditure	$25,385
Net Income	**$73,429**
Less Budgeted Expenditure	$97,831
Income Deficit	**($24,402)**

Assuming budgeted expenditure remains unchanged, consideration is to be given to drawing down on investment earnings (rather than reinvesting all earnings) to subsidise this cash flow deficit.

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of $3,500 (Plus GST), which will be invoiced to you.

Upfront and Ongoing Fee Disclosure

An Adviser Service Fee of 0.60% will apply to any Colonial FirstChoice investments implemented. This is generally paid until the investment is redeemed. The actual amount will vary over time according to the mix of the underlying investments and the total value of your funds under management. The actual amount will be dependent on the investment options implemented.

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a "cooling-off" period in which to change your mind if you don't think the product meets your needs. The cooling-off period usually starts when you're told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don't guarantee they're the best available or that they'll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

I am not a registered tax (financial) adviser under the Tax Agents Services Act. You should seek advice from a registered tax (financial) adviser or a registered tax agent before relying on my advice.

Are My Product Recommendations Restricted?

Non Superannuation Products

Yes, when making non superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Complete the application forms in the Product Disclosure Statements
- Sign and date the Authority to Proceed
- Return the forms to us
- Retain a copy for your records

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix – Colonial First State

Colonial FirstChoice Wholesale Investments

The FirstChoice Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

A minimum total investment of $5,000 ($1,500 for super) is required to establish an account in FirstChoice Investments. A $1,000 minimum initial balance is required if a regular investment plan is set up at commencement of the account. The minimum regular investment plan amount is $100 per month.

Reasons and Benefits

The major features of the Colonial FirstChoice Investments are as follows:

<u>Sector Specific Diversification</u>

A strong range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

<u>Simplicity</u>

Consolidated reporting from Colonial First State.

<u>Ease of Management</u>

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

- We recommend that annual automatic rebalancing is elected.

<u>Highly competitive and simple to understand fee structure</u>

- No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one off fee for upfront costs.
- You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.
    - Our normal 0.60% p.a. Adviser Service fee will apply.
- No switching fees or exit fees apply to this investment.

Appendix – Scenario Calculations